

gathered under a buttonwood tree on Wall Street and signed the “Buttonwood Agreement,” which established a bond of trust between them and—more important—set minimum commission rates. The New York Stock Exchange traces its roots to that historic day. Of course, as the market flourished, it wasn’t long before those once-trusting brokers entered into skirmishes against each other; their fights, however, were a bit more civilized than those that took place there between the Dutch and the British.

The ensuing battles along Wall Street involved more slick financial skills than weapons, although Jim Fisk, stock manipulator extraordinaire and major player in the infamous gold corner of 1869, was shot to death by a jealous rival—both men were courting the same woman. The financial skulduggery of Fisk and his cronies, like Daniel Drew (see Part VI, “Lessons from Notorious Characters”), were important to Wall Street, as they actually served as catalysts for stock exchange reform. They were operating in the mid-1800s, when railroads ruled the country, both powering economic development and controlling the flow of goods. The first railroad stock was listed in 1830, when there were only 73 miles of track. Ten years later there would be 3,328 miles of track and 13 railroad stocks listed, providing ample opportunity for manipulating prices and stock watering. One result: In 1866, the New York Stock Exchange began requiring companies to provide financial reports to help prevent deceptive practices.

Other major reforms also followed scandal or financial disasters. As a result of the 1907 panic (see Frank Vanderlip), the Federal Reserve System was established in 1913; after the 1929 crash (see Edwin Lefèvre), the Securities Exchange Commission was established in 1934; after the 1987 crash (see George Soros), the SEC instituted measures to control the extreme price movements that resulted from the growth of computer-generated trades. Since the mid-1800s, technical innovations have helped modernize the various exchanges. In 1844 the telegraph was invented, paving the way for brokers to operate effectively in every American city—they could